

Intel

Better Q1/Q2 on Supply Catch-Up and DCAI Strength, But Inventory-Driven CCG, Potential 2H GM Headwinds, and Foundry Uncertainty Keep Us Cautious

Q1 and Q2 cleared expectations across the board, reflecting genuine strength in DCAI, improved 18A yields, and a third consecutive capex upgrade, but EPS quality issues, 2H gross margin headwinds, structural OpEx creep, and a Foundry breakeven timeline that is likely to push beyond YE CY27 keep us at UW even as we raise estimates: (1) Server CPU is in a structural upcycle extending into CY27, but we still expect INTC to cede share over the next 12-18 months. Wafer supply ramps each quarter through year-end (Mar-Q was the trough; demand “starting with a B” still unmet). CPU:GPU attach compression (1:8 → 1:3-4 → parity in agentic inference) flips the server CPU TAM to DD% growth in CY26+CY27, anchored by multi-year LTAs (Google + others). But ASP-per-core likely peaks in Q2, and the combination of AMD plus ARM-based hyperscaler silicon (NVDA Vera, Google Axion, AWS Graviton, ARM AGI), alongside a competitively challenged product roadmap over the coming quarters, keeps share loss as a near-/medium-term headwind. (2) CCG resilience is an inventory replenishment story masking underlying weakness. Revenue was down only ~6% Q/Q in Q1 vs. expectations of -12 to -14%, underpinned by OEM/ODM pull-ins amid lean channel inventory and anticipated component shortages. CY26 PC units are expected to decline DD% Y/Y, with channel inventory at historic lows supporting flat Q/Q sell-in through 3Q/4Q (above-seasonal). Once channels restock, CCG likely tracks consumption, pointing to a down year in CY27. (3) GM trajectory requires execution against 2H cost headwinds - Q2 steps down to an estimated 39.0% as Q1 sales of previously reserved inventory do not repeat, and 18A grows 6-7x Q/Q (all Client, dilutive). We model a gradual 2H recovery in GM to exit CY26 at 41%+ as 18A yields mature and pricing flows through, but this requires overcoming 2H cost inflation (memory, substrates, t-glass) - and even at 41%+, INTC remains structurally below historical peak GM levels. (4) ASIC is the most differentiated piece - running at ~\$1.5B annualized (per JPMe) and explicitly framed as a true “AVGO/MRVI-like” ASIC business (zero custom Xeon, all networking, roadmap into compute/accelerators). But at ~3% of revenue and competing against entrenched AVGO/MRVL franchises, this is multi-year optionality, not a near-term EPS lever or offset to CCG/Foundry. (5) Foundry remains the structural overhang - breakeven by YE CY27 is still the official target, but mgmt has caveated that a meaningful external customer win pushes timing further out. Initial revenue ramp will be tied to advanced packaging (“billions per year” per opportunity vs. originally hundreds of millions), while high-volume external customer wafer ramps remain a CY28+ event. 18A/14A yield progress is encouraging (18A year-end target hit by mid-year; 14A “outpacing 18A at similar point in time”), and TeraFab adds optionality though looks more exploratory than a cemented wafer-volume contract. Net, we raise forward estimates and increase our PT to \$45 (prior \$35) based on a group multiple range of 25-35x on \$1.40 of earnings power exiting 2026.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures.

Underweight

INTC, INTC US

Price (23 Apr 26):\$66.78

▲ Price Target (Dec-26):\$45.00

Prior (Dec-26):\$35.00

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J.P. Morgan Securities LLC

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	0.61	1.14	86.1%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	0.13	0.29A	
Q2	(0.10)	0.22	
Q3	0.23	0.28	
Q4	0.16	0.35	
FY	0.43	1.14	

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	50	12	7	16	15
Growth	62	77	84	96	34
Momentum	1	90	100	85	92
Quality	57	57	53	9	9
Low Vol	67	67	59	19	31
ESGQ	95	86	95	32	17

Price Performance



	YTD	1m	3m	12m
Abs	81.0%	51.7%	48.2%	224.3%
Rel	77.2%	43.7%	45.4%	192.1%

Company Data

Shares O/S (mn)	4,856
52-week range (\$)	70.32-18.97
Market cap (\$ mn)	324,283.70
Exchange rate	1.00
Free float (%)	81.6%
3M ADV (mn)	102.90
3M ADV (\$ mn)	5,182.6
Volatility (90 Day)	73
Index	S&P 500
BBG ANR (Buy Hold Sell)	11 36 5

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E
Financial Estimates		
Revenue	52,853	58,953
Adj. EBIT	2,916	7,467
Adj. EBITDA	13,152	17,703
Adj. net income	1,929	5,896
Adj. EPS	0.43	1.14
BBG EPS	0.35	0.55
Cashflow from operations	9,697	10,398
FCFF	(14,303)	(13,602)
Margins and Growth		
Revenue Growth Y/Y (%)	(0.5%)	11.5%
EBIT margin	5.5%	12.7%
EBIT Growth Y/Y (%)	(1248.0%)	156.1%
EBITDA margin	24.9%	30.0%
EBITDA Growth Y/Y (%)	27.3%	34.6%
Net margin	3.6%	10.0%
Adj. EPS growth	(937.0%)	167.5%
Ratios		
Adj. tax rate	8.2%	12.9%
Interest cover	-	-
Net debt/Equity	0.1	0.1
Net debt/EBITDA	0.7	0.8
ROE	1.7%	4.6%
Valuation		
FCFF yield	(4.7%)	(3.9%)
Dividend yield	0.0%	0.0%
EV/Revenue	6.3	5.7
EV/EBITDA	25.4	19.1
Adj. P/E	156.6	58.6

Summary Investment Thesis and Valuation

Investment Thesis

Given the market has time to gain confidence in Intel's ability to execute in its core compute and diversification initiatives, we believe INTC will be an underperformer relative to the group over the next 12-18 months, which drives our Underweight rating on INTC. It is important to note that our rating on INTC is a relative call vs. the group, for which we see a positive move over the next 12-18 months and where we see INTC stock participating, but we think at a slower pace.

Valuation

Our PT is based on a group multiple of 25-30x on \$1.40 of earnings power exiting 2026. Given no upside to our PT and continued demand/competitive headwinds we maintain our UW rating on INTC.

Performance Drivers

Market	9%
Sector	0%
Macro	9%
Style	13%
Idiosyn.	68%

Factors	6M Corr	1Y Corr
Market: MSCI US	0.42	0.40
Sect: Technology	-0.09	0.04
Ind: Semicond & S Equip	-0.17	0.20
Macro:		
Credit Spread	-0.08	-0.09
US 10yr yield	-0.04	-0.07
Non-Energy Commodity	0.00	0.05
Quant Styles:		
Value	0.31	0.32
Quality	-0.48	-0.28
Growth	-0.34	-0.23

- **Strong Mar-Qtr beat across the P&L driven by better-than-expected supply availability, surging DCAI demand, and improving 18A yields, with EPS materially above the high end of guidance.** Mar-Qtr results came in well ahead of expectations, with revenue of \$13.58B (-0.7% Q/Q, +7.2% Y/Y) vs. our \$12.23B estimate and Street \$12.36B. The beat was broad-based: DCAI (\$5.05B, +7% Q/Q, +22% Y/Y) extended the fastest sequential growth this decade with record OpM of 30.5%, CCG (\$7.73B, -6% Q/Q vs expected -12-14%) demonstrated better-than-expected resilience helped by sales of previously reserved inventory and improved mix (OpM+560 bps Q/Q to 32.6%), and Intel Foundry (\$5.42B, +20% Q/Q) benefited from continued mix shift to EUV (Intel 3/18A) and significant 18A volume growth (operating loss narrowed ~\$70M Q/Q to -\$2.4B). Gross margin came in at 41.0% vs. Street ~36.5%, the highest level in 5+ years, driven by higher volumes (including previously reserved inventory pull-through), better mix, pricing actions, and improved 18A yields. EPS of \$0.29 (vs. Street \$0.01) similarly exceeded expectations, though we note Q1 EPS included a ~\$0.06 one-time I&O gain from the Apollo SCIP charge reversal, with normalized Q1 closer to \$0.23.
- **Jun-Qtr revenue guidance materially above expectations on continued supply ramp and DCAI strength; GM steps down on 18A mix dilution and absence of Q1 inventory benefits.** Jun-Qtr guidance was solidly above expectations, with a revenue mid-point of \$14.3B (+5% Q/Q, +11% Y/Y) vs. Street ~\$13.0B - the highest quarterly run-rate in 2+ years. The guide reflects continued supply ramp through Q2 (yield improvements, throughput optimization, and ongoing Client to DCAI wafer reallocation), with CCG and DCAI both expected to grow sequentially and DCAI guided up double-digits Q/Q on broad-based strength across hyperscale and enterprise customers. GM guidance of 39.0% (vs Street ~36.5%) steps down 200 bps from Q1, driven by Q1 inventory pull-throughs that do not repeat, plus a 6-7x sequential ramp in 18A volume (all Client, still dilutive in early ramp), partially offset by better 18A yields and a full quarter of pricing actions.
- **Raising estimates and increasing our PT to \$45... remain UW INTC.** We raise our forward estimates and increase our PT to \$45 (from \$35) based on a group multiple range of 25-35x on \$1.40 of earnings power exiting 2026.

Intel 1Q26 Earnings Summary and 2Q26 Outlook

Table 1: Intel 1Q26 Earnings Summary and 2Q26 Outlook

\$ in billions, except per-share data

	1Q26				2Q26E	
	Consensus	JPM Est	Actual	Delta	Consensus	Guidance
Revenue (\$B)	\$12.36	\$12.23	\$13.58	\$1.34	\$13.04	\$14.30
Q/Q Change		-10.5%	-0.7%	9.8%		
Gross Margin*	34.5%	34.5%	41.0%	6.5%	36.5%	39.0%
Op Margin*	3.1%	2.9%	12.3%	9.4%		
EPS* (inc. SBF)	\$0.01	(\$0.00)	\$0.29	\$0.29	\$0.09	\$0.20

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates. * Non-GAAP

Table 2: Intel Market Segment Summary – 1Q26

\$ in millions, %

	1Q26				Op Margin	Operating Income
	Segment Revenue	Q/Q	Y/Y	% of Total Revenues		
CCG	\$7,727	down 5.7%	up -6.6%	56.9%	32.6%	\$2,516
DCAI	\$5,052	up 6.6%	up 8.9%	37.2%	30.5%	\$1,542
Other	\$628	up -42.2%	down 48.4%	4.6%	16.2%	\$102
Intel Foundry	\$5,421	up 6.4%	up 3.8%	39.9%	-45.0%	(\$2,437)
Less intersegment revenue	(\$5,251)	up 2.6%	up .6%	-38.7%	92.5%	(\$4,859)
Total	\$13,577	-0.7%	7.2%	100.0%	-23.1%	(\$3,136)

Source: Company reports and J.P. Morgan estimates.

Balance Sheet and Cash Flow Items

Intel generated \$1.1B in cash from operations in 1Q26 with gross capital spending of ~\$5B in the quarter. During 1Q26, Intel paid no dividends and repurchased no shares. Total cash and equivalents were approximately \$32.8B at the end of 1Q26.

Adjusting our forward estimates

Our CY26 revenue/EPS estimates move to \$59B/\$1.14 from our prior estimates of \$54.8B/\$0.61.

Appendix I – Valuation and Comp Table

Table 3: Semiconductor Valuation and Comp Table

	JPM Rating	Market Cap	4/23/26 Price	Non-GAAP EPS		P/E		Revenues		P/S		Consensus Non-GAAP EPS			Consensus Revenues			Consensus P/E			Consensus P/S		
				C25	C26E	C25	C26E	C25	C26E	C25	C26E	C25	C26E	C27E	C25	C26E	C27E	C25	C26E	C27E	C25	C26E	C27E
Harlan Sur, Lead Coverage phone: 415-315-6700, email: harlan.sur@jpmchase.com																							
PC Semiconductors																							
INTC	UW	\$339,443	\$66.78	\$0.43	\$1.14	156.6x	58.6x	\$52,853	\$58,953	6.4x	5.8x	\$0.43	\$0.59	\$1.12	\$52,853	\$55,640	\$58,766	156.6x	113.8x	59.8x	6.4x	6.1x	5.8x
NVDA	OW	\$4,877,604	\$199.64	\$4.77	\$8.07	41.9x	24.8x	\$215,938	\$359,545	22.6x	13.6x	\$4.77	\$8.01	\$10.98	\$215,938	\$359,352	\$486,411	41.9x	24.9x	18.2x	22.6x	13.6x	10.0x
AMD	N	\$503,489	\$305.33	\$4.18	\$6.80	73.0x	44.9x	\$34,639	\$46,355	14.5x	10.9x	\$4.18	\$6.76	\$11.21	\$34,639	\$47,047	\$68,111	73.0x	45.1x	27.2x	14.5x	10.7x	7.4x
Memory																							
MIU	OW	\$550,124	\$481.72	\$11.21	\$78.73	43.0x	6.1x	\$42,244	\$137,644	13.0x	4.0x	\$11.21	\$71.46	\$106.53	\$42,244	\$141,242	\$187,517	43.0x	6.7x	4.5x	13.0x	3.9x	2.9x
Enterprise/Networking/Datacenter Semiconductors																							
MRVL	OW	\$141,752	\$165.56	\$2.85	\$3.82	58.1x	43.3x	\$8,195	\$10,848	17.3x	13.1x	\$2.85	\$3.70	\$5.28	\$8,195	\$10,583	\$14,414	58.1x	44.8x	31.4x	17.3x	13.4x	9.8x
AVGO	OW	\$2,052,667	\$419.94	\$7.28	\$14.78	57.7x	28.4x	\$68,282	\$129,526	30.1x	15.8x	\$7.28	\$12.68	\$19.00	\$68,282	\$114,346	\$167,866	57.7x	33.1x	22.1x	30.1x	18.0x	12.2x
ALAB	OW	\$30,737	\$197.54	\$1.84	\$2.28	107.4x	86.5x	\$853	\$1,295	36.1x	23.7x	\$1.84	\$2.49	\$3.51	\$853	\$1,352	\$1,867	107.4x	79.3x	56.3x	36.1x	22.7x	16.5x
Mobile Devices																							
SWKS	N	\$9,263	\$61.55	\$5.87	\$4.95	10.5x	12.4x	\$4,054	\$3,831	2.3x	2.4x	\$5.87	\$4.53	\$5.19	\$4,054	\$3,722	\$3,981	10.5x	13.6x	11.9x	2.3x	2.5x	2.3x
QRVO	N	\$7,921	\$84.65	\$6.73	\$5.82	12.6x	14.6x	\$3,740	\$3,351	2.1x	2.4x	\$6.73	\$6.13	\$7.81	\$3,740	\$3,372	\$3,689	12.6x	13.8x	10.8x	2.1x	2.3x	2.1x
IoT																							
SLAB	N	\$7,062	\$214.52	\$0.92	\$2.50	232.4x	85.7x	\$785	\$926	9.0x	7.6x	\$0.92	\$2.72	\$4.14	\$785	\$925	\$1,084	232.4x	78.9x	51.8x	9.0x	7.6x	6.5x
SYNA	OW	\$3,305	\$84.95	\$4.22	\$4.82	20.2x	17.6x	\$1,144	\$1,243	2.9x	2.7x	\$4.22	\$4.73	\$5.70	\$1,144	\$1,240	\$1,369	20.2x	18.0x	14.9x	2.9x	2.7x	2.4x
Analog/Microcontrollers																							
TXN	OW	\$257,958	\$282.23	\$5.45	\$8.16	51.8x	34.6x	\$17,682	\$21,474	14.6x	12.0x	\$5.45	\$7.34	\$8.63	\$17,682	\$20,555	\$22,780	51.8x	38.5x	32.7x	14.6x	12.5x	11.3x
ADI	OW	\$198,570	\$403.88	\$8.62	\$12.41	46.9x	32.5x	\$11,757	\$14,801	16.9x	13.4x	\$8.62	\$11.91	\$13.48	\$11,757	\$14,317	\$15,678	46.9x	33.9x	30.0x	16.9x	13.9x	12.7x
NXPI	N	\$61,273	\$241.16	\$11.81	\$13.85	20.4x	17.4x	\$12,269	\$13,551	5.0x	4.5x	\$11.81	\$13.93	\$16.64	\$12,269	\$13,537	\$14,895	20.4x	17.3x	14.5x	5.0x	4.5x	4.1x
MXCP	OW	\$49,444	\$90.64	\$1.16	\$2.33	76.9x	38.9x	\$4,372	\$5,439	11.3x	9.1x	\$1.16	\$2.43	\$3.46	\$4,372	\$5,466	\$6,459	76.9x	37.2x	26.2x	11.3x	9.0x	7.7x
Diversified/Consumer/Standard Components/Other																							
ON	N	\$39,337	\$97.78	\$2.35	\$2.98	41.7x	32.8x	\$5,995	\$6,335	6.6x	6.2x	\$2.35	\$2.94	\$4.07	\$5,995	\$6,284	\$6,933	41.7x	33.2x	24.0x	6.6x	6.3x	5.7x
VSH	N	\$3,737	\$27.33	N/A	\$0.38	N/A	71.8x	\$3,069	\$3,375	21.4x	18.0x	N/A	\$0.54	\$1.13	\$3,069	\$3,433	\$3,702	N/A	50.6x	24.3x	1.2x	1.1x	1.0x
MTSI	N	\$21,819	\$284.40	\$3.71	\$4.60	76.7x	61.9x	\$1,021	\$1,215	21.4x	18.0x	\$3.71	\$4.73	\$5.91	\$1,021	\$1,226	\$1,441	76.7x	60.2x	48.2x	21.4x	17.8x	15.1x
Foundries																							
GFS	N	\$34,462	\$61.54	\$1.73	\$1.81	35.6x	34.0x	\$6,791	\$7,198	5.1x	4.8x	\$1.73	\$1.81	\$2.35	\$6,791	\$7,234	\$7,946	35.6x	33.9x	26.2x	5.1x	4.8x	4.3x
OSAT																							
AMKR	OW	\$18,160	\$72.91	\$1.51	\$1.66	48.4x	44.0x	\$6,708	\$7,427	46.8x	39.6x	\$1.51	\$1.69	\$2.32	\$6,708	\$7,455	\$8,229	48.4x	43.2x	31.4x	2.7x	2.4x	2.2x
Semiconductor Capital Equipment																							
AMAT	OW	\$322,724	\$403.91	\$9.44	\$12.11	42.8x	33.3x	\$28,233	\$33,541	11.4x	9.6x	\$9.44	\$11.70	\$14.58	\$28,233	\$32,935	\$38,847	42.8x	34.5x	27.7x	11.4x	9.8x	8.3x
LRCX	OW	\$325,094	\$258.56	\$4.90	\$7.01	52.8x	36.9x	\$20,561	\$27,686	15.8x	11.7x	\$4.90	\$6.79	\$8.02	\$20,561	\$26,905	\$32,993	52.8x	38.1x	29.3x	15.8x	12.1x	9.9x
KLAC	OW	\$239,853	\$1,815.43	\$35.45	\$41.73	51.2x	43.5x	\$12,745	\$14,759	18.6x	16.2x	\$35.45	\$42.18	\$53.50	\$12,745	\$14,873	\$17,780	51.2x	43.0x	33.9x	18.8x	16.1x	13.5x
MKSI	OW	\$19,078	\$280.56	\$7.88	\$10.43	35.6x	26.9x	\$3,930	\$4,497	4.9x	4.2x	\$7.88	\$9.91	\$12.11	\$3,930	\$4,475	\$4,981	35.6x	28.3x	23.2x	4.9x	4.3x	3.8x
Chip Design Automation Software																							
ARM	OW	\$218,728	\$204.61	\$1.72	\$1.85	119.2x	110.3x	\$4,671	\$5,522	46.8x	39.6x	\$1.72	\$1.95	\$2.75	\$4,671	\$5,597	\$7,162	119.2x	104.7x	74.4x	46.8x	39.1x	30.5x
CDNS	OW	\$85,791	\$314.33	\$7.14	\$8.31	44.0x	37.8x	\$5,297	\$6,005	16.2x	14.3x	\$7.14	\$7.90	\$9.36	\$5,297	\$6,134	\$6,916	44.0x	39.8x	33.6x	16.2x	14.0x	12.4x
SNPS	OW	\$87,150	\$456.85	\$13.73	\$14.84	33.3x	30.8x	\$8,008	\$9,825	10.9x	8.9x	\$13.73	\$14.76	\$17.61	\$8,008	\$9,712	\$10,740	33.3x	30.9x	25.9x	10.9x	9.0x	8.1x
Large Cap Semi Average																							
Small-Mid Cap Semi Average																							
Semi Group Average (ex-outliers)																							
SOX Index																							
S&P500																							
			10,079	184	407	54.7x	32.9x	54.7x	24.8x	9.0x	7.4x	54.7x	24.8x	18.9x	54.7x	24.8x	18.9x	12.0x	9.0x	7.4x			
			7,108	258	329	27.6x	21.6x	3.3x	3.1x	3.3x	3.1x	27.6x	21.6x	18.9x	27.6x	21.6x	18.9x	3.5x	3.3x	3.1x			

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates. Pricing as of the market close 4/23/2026.

Table 6: INTC Cash Flow Statement

\$ in millions

FY End: Dec.	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Net income (GAAP)	8,113	(454)	1,019	(661)	(2,704)	1,471	297	2,611	(437)	(1,854)	(16,989)	(153)	(887)	(3,024)	4,270	(333)	(4,281)	480	836	1,277
Depreciation	2,847	2,681	2,781	2,819	1,901	1,832	2,020	2,094	2,200	2,203	3,246	2,300	2,425	2,788	2,758	2,786	2,902	2,094	2,094	2,094
Share based compensation	707	892	793	736	739	922	772	796	1,179	780	800	651	684	664	548	538	621	0	0	0
Excess tax benefit from share based payment																				
Amortization of acq-related intangibles and costs	501	467	471	(365)	465	444	427	419	351	366	364	347	249	225	234	241	234	465	465	465
Purchased in-process R&D	17	56	592	0	0	255	463	(1,142)	0	1,291	2,335	(135)	0	0	0	0	0	0	0	0
Tax benefit from employee stock plans	0	0	0	0	0	0	0	0	0	0	6,368	(236)	0	0	0	0	0	0	0	0
Other adjustments	(5,446)	144	155	(166)	(115)	(31)	193	(89)	140	(224)	2,299	(209)	131	449	(3,899)	597	5,118	0	0	0
Change in working capital																				
Change in Receivables	2,383	1,014	(1,406)	3,336	289	848	153	(559)	80	192	10	(357)	414	590	(642)	(611)	(217)	1,394	(134)	(160)
Changes in Inventory	(1,147)	(239)	(657)	(393)	231	1,009	518	339	(366)	250	(853)	(136)	(83)	182	(108)	(129)	(808)	(1,168)	(328)	(570)
Changes in Trading assets																				
Accounts Payable	(128)	245	(602)	456	(771)	(331)	20	281	(386)	570	382	68	(240)	354	(395)	578	(142)	0	0	0
Accrued compensation and benefits	(1,884)	(101)	73	(1,204)	(1,560)	220	169	557	(1,289)	(20)	2,693	(1,602)	(741)	1,763	(481)	247	(1,175)	0	0	0
Income taxes payable	1,219	(3,451)	(1,830)	(473)	1,344	(3,530)	(490)	(855)	(591)	(1,583)	1,244	574	67	(1,405)	142	201	169	0	0	0
Other assets and liabilities	(1,291)	(445)	(359)	3,618	(1,540)	(303)	1,269	123	(2,104)	121	2,003	2,203	(1,206)	(536)	319	173	(1,325)	0	0	0
Cash flow from operations	5,891	809	1,030	7,703	(1,721)	2,806	5,811	4,675	(1,223)	2,292	3,904	3,315	813	2,050	2,546	4,288	1,096	3,264	2,933	3,106
Changes in ST Investments	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	(8,932)	7,258	0	0	0
Capital spending	(4,604)	(7,242)	(7,299)	(5,699)	(7,413)	(5,888)	(5,753)	(6,696)	(5,970)	(5,682)	(6,458)	(5,834)	(5,183)	(3,550)	(2,425)	(3,488)	(3,636)	(3,636)	(3,636)	(3,636)
Acquisition, net of cash acquired	0	0	0	0	0	0	0	0	0	0	0	0	(82)	0	0	0	0	0	0	0
Other Investing Activities	1,964	7,410	2,725	2,268	(1,108)	3,080	(1,641)	1,378	3,407	(3,483)	3,694	2,152	5,264	1,464	(3,825)	5,854	(529)	(529)	(529)	(529)
Cash flow from investments	(2,640)	168	(4,574)	(3,431)	(8,521)	(2,808)	(7,394)	(5,318)	(2,563)	(9,165)	(2,764)	(3,764)	81	(2,086)	(6,250)	(6,566)	3,093	(4,165)	(4,165)	(4,165)
Net borrowings	0	(1,688)	(1,400)	4,652	8,038	(1,110)	423	3,617	3,330	552	(3,195)	0	(4)	501	(4,247)	0	(1,500)	0	0	0
Stock repurchase program	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Excess tax benefit from share based payment	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Proceeds of sales of shares to employees	589	0	383	5	659	175	272	(64)	626	11,235	417	(11,291)	491	1,747	2,276	8,963	427	427	427	427
Dividends paid	(1,487)	(1,499)	(1,502)	(1,509)	(1,512)	(524)	(525)	(527)	(529)	(534)	(536)	0	0	0	0	0	(133)	(133)	(133)	(133)
Other financing activities	(965)	385	6,202	(805)	209	1,576	672	(2,874)	203	(16)	(478)	11,354	(683)	(1,466)	7,123	(3,114)	0	0	0	0
Cash flow from financing	(1,863)	(2,802)	3,683	2,343	7,394	117	842	152	3,630	11,237	(3,792)	63	(196)	782	5,152	5,849	(1,266)	294	294	294
Cash at beginning of period	5,658	7,046	5,221	5,360	11,975	9,127	9,242	8,501	7,910	7,754	12,118	9,466	9,080	9,778	10,524	11,972	15,543	18,526	17,919	16,981
Net change in cash and equivalents	1,388	(1,825)	139	6,615	(2,848)	115	(741)	(591)	(156)	4,364	(2,652)	(386)	698	746	1,448	3,571	2,983	(607)	(938)	(765)
Cash at end of period	7,046	5,221	5,360	11,975	9,127	9,242	8,501	7,910	7,754	12,118	9,466	9,080	9,778	10,524	11,972	15,543	18,526	17,919	16,981	16,216

Source: Company reports and J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Intel (*Underweight; Price Target: \$45.00*)

Investment Thesis

Over the past 20 years, INTC has consistently underperformed the SOX index in each of the 3-, 5-, 10-, and 20-year periods. From a company fundamental perspective, the company is facing tough macro headwinds and a highly competitive compute environment exacerbated by lingering questions on its ability to execute on its technology/product/diversification road maps. And from a financial perspective, the stock should continue to be under pressure as the market continues to be concerned about the sustainability of dividend payments as revenue/margins come under pressure during an industry downturn combined with the team's elevated capital intensity target which is crimping FCF (we estimate roughly breakeven FCF in 2027, consistent with management guidance). Given the market has time to gain confidence in Intel's ability to execute in its core compute and diversification initiatives, we believe INTC will be an underperformer relative to the group over the next 12-18 months, which drives our Underweight rating on INTC. It is important to note that our rating on INTC is a relative call vs. the group, for which we see a positive move over the next 12-18 months and where we see INTC stock participating, but we think at a slower pace.

Valuation

Our PT is based on a group multiple of 25-30x on \$1.40 of earnings power exiting 2026. Given no upside to our PT and continued demand/competitive headwinds we maintain our UW rating on INTC.

Risks to Rating and Price Target

- Intel executing better than planned on its technology/product road maps could result in gaining technology parity or better earlier than expected, which poses an upside risk.
- Shorter than expected industry downturn period could result in a quicker recovery in both PC and datacenter server CPU markets, posing an upside risk.
- Higher customer uptake for Intel Foundry Services (IFS) could help Intel realize quicker revenue scale, posing an upside risk.

Intel: Summary of Financials

Income Statement - Annual					Income Statement - Quarterly				
	FY24A	FY25A	FY26E	FY27E		1Q26A	2Q26E	3Q26E	4Q26E
Revenue	53,101	52,853	58,953	-	Revenue	13,577A	14,361	15,078	15,937
COGS	-	-	-	-	COGS	-	-	-	-
Gross profit	-	-	-	-	Gross profit	-	-	-	-
SG&A	(5,507)	(4,624)	(4,552)	-	SG&A	(1,038)A	(1,113)	(1,188)	(1,213)
Adj. EBITDA	10,330	13,152	17,703	-	Adj. EBITDA	4,227A	4,108	4,464	4,905
D&A	(10,236)	(10,236)	(10,236)	-	D&A	(2,559)A	(2,559)	(2,559)	(2,559)
Adj. EBIT	(254)	2,916	7,467	-	Adj. EBIT	1,668A	1,549	1,905	2,346
Net Interest	-	-	-	-	Net Interest	-	-	-	-
Adj. PBT	562	6,687	6,657	-	Adj. PBT	858A	1,549	1,905	2,346
Tax	(8,023)	(1,531)	(1,340)	-	Tax	(335)A	(335)	(335)	(335)
Minority Interest	-	-	-	-	Minority Interest	-	-	-	-
Adj. Net Income	(218)	1,929	5,896	-	Adj. Net Income	1,485A	1,128	1,445	1,838
Reported EPS	(4.30)	(0.06)	(0.22)	-	Reported EPS	(0.73)A	0.09	0.16	0.25
Adj. EPS	(0.05)	0.43	1.14	-	Adj. EPS	0.29A	0.22	0.28	0.35
DPS	0.00	0.00	0.00	-	DPS	0.00A	0.00	0.00	0.00
Payout ratio	0.0%	0.0%	0.0%	-	Payout ratio	0.0%A	0.0%	0.0%	0.0%
Shares outstanding	4,280	4,525	5,171	-	Shares outstanding	5,083A	5,200	5,200	5,200
Balance Sheet & Cash Flow Statement					Ratio Analysis				
	FY24A	FY25A	FY26E	FY27E		FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	22,062	37,416	30,478	-	Gross margin	32.7%	34.8%	39.0%	-
Accounts receivable	3,478	3,839	2,966	-	EBITDA margin	19.5%	24.9%	30.0%	-
Inventories	12,198	11,618	14,493	-	EBIT margin	(0.5%)	5.5%	12.7%	-
Other current assets	9,586	10,815	10,803	-	Net profit margin	(0.4%)	3.6%	10.0%	-
Current assets	47,324	63,688	58,740	-	ROE	(0.2%)	1.7%	4.6%	-
PP&E	107,919	105,414	116,176	-	ROA	(0.1%)	0.9%	2.8%	-
LT investments	5,383	8,512	8,481	-	ROCE	(0.1%)	1.6%	3.7%	-
Other non current assets	35,859	33,815	29,306	-	SG&A/Sales	10.4%	8.7%	7.7%	-
Total assets	196,485	211,429	212,703	-	Net debt/equity	0.3	0.1	0.1	-
Short term borrowings	3,729	2,499	2,004	-	P/E (x)	NM	156.6	58.6	-
Payables	31,937	28,472	24,881	-	P/BV (x)	2.7	2.6	2.5	-
Other short term liabilities	0	604	0	-	EV/EBITDA (x)	34.1	25.4	19.1	-
Current liabilities	35,666	31,575	26,885	-	Dividend Yield	0.0%	0.0%	0.0%	-
Long-term debt	46,282	44,086	43,027	-	Sales/Assets (x)	0.3	0.3	0.3	-
Other long term liabilities	9,505	9,408	10,431	-	Interest cover (x)	-	-	-	-
Total liabilities	91,453	85,069	80,343	-	Operating leverage	5073.6%	267224.4%	1352.4%	-
Shareholders' equity	105,032	126,360	132,360	-	Revenue y/y Growth	(2.1%)	(0.5%)	11.5%	-
Minority interests	-	-	-	-	EBITDA y/y Growth	(28.4%)	27.3%	34.6%	-
Total liabilities & equity	196,485	211,429	212,703	-	Tax rate	17.3%	8.2%	12.9%	-
BVPS	24.32	26.02	27.26	-	Adj. Net Income y/y Growth	(104.9%)	(984.9%)	205.7%	-
y/y Growth	(5.8%)	7.0%	4.7%	-	EPS y/y Growth	(104.8%)	(937.0%)	167.5%	-
Net debt/(cash)	27,949	9,169	14,553	-	DPS y/y Growth	(100.0%)	-	-	-
Cash flow from operating activities	8,288	9,697	10,398	-					
o/w Depreciation & amortization	10,236	10,236	10,236	-					
o/w Changes in working capital	1,103	(1,747)	(4,465)	-					
Cash flow from investing activities	(18,256)	(14,821)	(9,402)	-					
o/w Capital expenditure	(20,970)	(24,000)	(24,000)	-					
as % of sales	39.5%	45.4%	40.7%	-					
Cash flow from financing activities	11,138	11,587	(324)	-					
o/w Dividends paid	(1,599)	0	(532)	-					
o/w Net debt issued/(repaid)	687	(3,750)	(1,500)	-					
Net change in cash	1,170	6,463	672	-					
Adj. Free cash flow to firm	(12,682)	(14,303)	(13,602)	-					
y/y Growth	(11.2%)	12.8%	(4.9%)	-					

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Intel (INTC, INTC US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
28-Apr-23	UW	29.86	30
28-Jul-23	UW	34.55	35
27-Oct-23	UW	32.52	37
26-Apr-24	UW	35.11	35
02-Aug-24	UW	29.05	26
31-Jan-25	UW	20.01	23
25-Apr-25	UW	21.49	20
25-Jul-25	UW	22.63	21
24-Oct-25	UW	38.16	30
23-Jan-26	UW	54.32	35

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 12, 2002. All share prices are as of market close on the previous business day.

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